

Ultra Sound Money

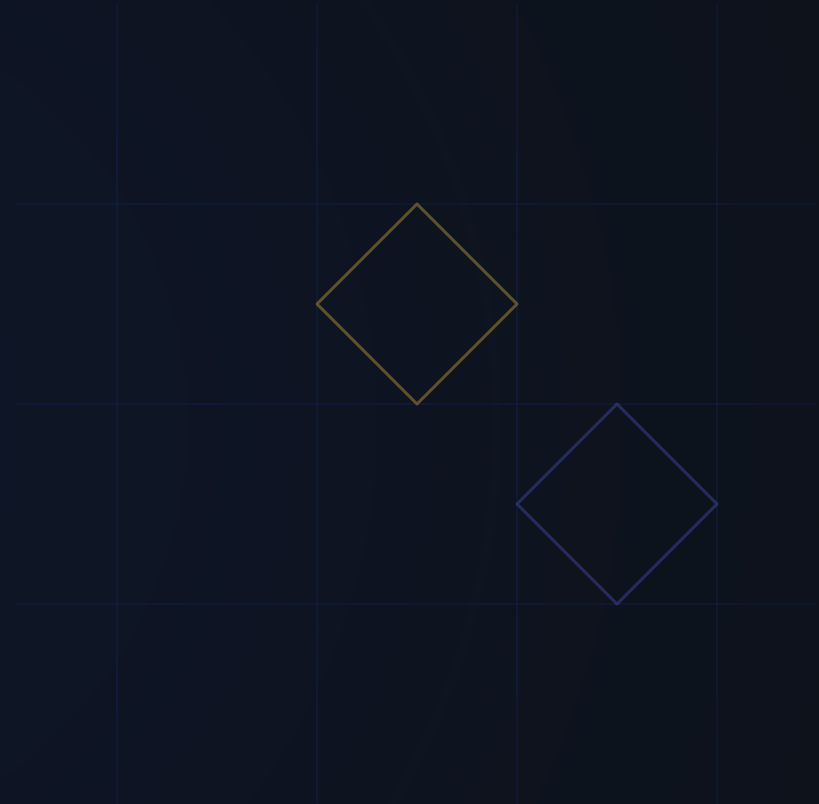
Ethereum's Post-Merge Supply Dynamics
and Monetary Premium

INVESTMENT THESIS | POST-MERGE ECONOMICS

Supply 121.6M ETH

Gas 0.1 Gwei

Price \$2,243 USD



ETH Supply Growing at +0.83%/Year with Only 192 ETH Burned in 7 Days

CURRENT SUPPLY

121,603,980 ETH

7-DAY NET CHANGE

+19,445.89 ETH

ISSUANCE OFFSET RATIO

0.01x
Burns offset only ~1% of issuance

ANNUALIZED GROWTH RATE

+0.83%/yr

INSIGHT

At current gas levels, ETH is mildly inflationary — far from the deflationary ultra sound money ideal.

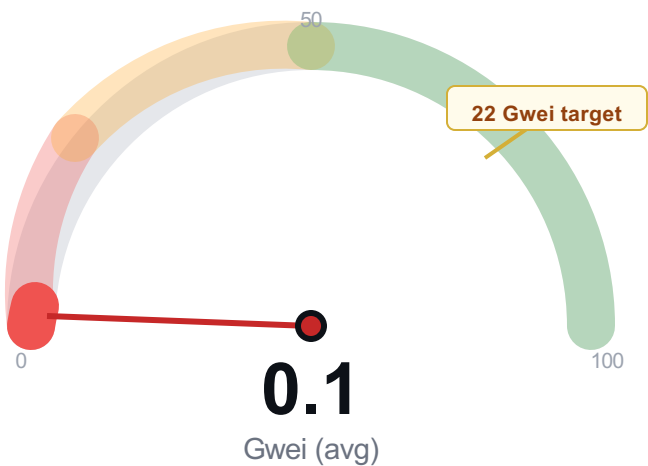
7-Day Supply Change Waterfall (ETH)

Start/End Issuance Burn



Base Gas at Historic Lows: 0.1 Gwei Average Suppresses Fee Burn

GAS PRICE LEVEL



7-Day Gas Market

Minimum	0.0 Gwei
Average	0.1 Gwei
Maximum	1.3 Gwei
Blob Gas (avg)	7.1M wei

EIP-1559 BURN MECHANISM

How It Works

Every transaction pays a base fee that is permanently burned, reducing ETH supply.

Current Problem

At 0.1 Gwei average, base fee burn is negligible — only 192 ETH in 7 days.

Equilibrium Assumption

Long-term projections assume 22 Gwei avg — 220x higher than current levels.

Blob Fees (EIP-4844)

Avg blob gas: 7,144,934 wei
7-day blob fee burn: 0.15 ETH
Value: \$319 — effectively zero

KEY IMPLICATION

Low gas = low burn = temporary supply inflation. The ultra sound money thesis requires on-chain **activity recovery to drive gas up.**

CURRENT vs. EQUILIBRIUM

Current avg gas

0.1 Gwei

Equilibrium assumption

22 Gwei

220x higher

At equilibrium gas, burn would offset ~2,200 ETH/day

DeFi and ETH Transfers Account for 85% of Weekly Fee Burn

BURN BY CATEGORY (7-Day, ETH)



DeFi + ETH Transfers = 85% of weekly burn

But absolute volumes are negligible at current gas levels

Recent blocks: 0.00-0.01 ETH burn per block
7-day record: just 0.07 ETH in a single block

TOP BURN LEADERBOARD (7-Day)

RANK	CONTRACT / ACTIVITY	BURN (ETH)
1	ETH Transfers	21.74
2	Tether USDT	13.55
3	DeFi Contracts (various)	~9.5

KEY OBSERVATIONS

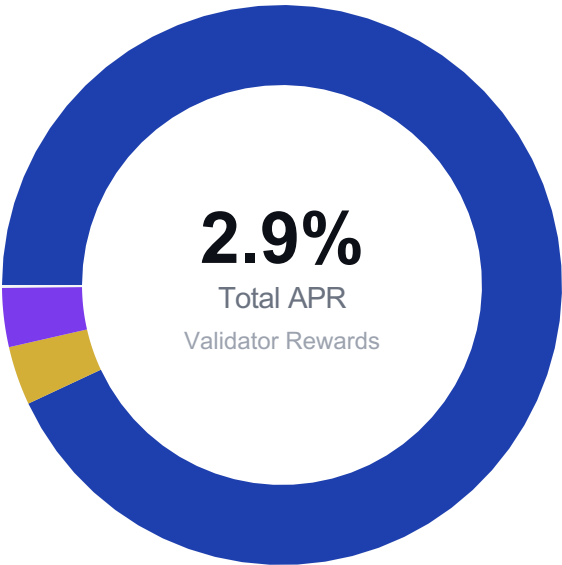
1. ETH transfers alone account for more burn than all other categories combined (excl. DeFi)
2. Zero burn from L2, MEV, and blob fees reflecting extremely low network activity
3. Total 7-day burn of ~192 ETH is statistically insignificant vs. 19,638 ETH issued

CATEGORY COMPOSITION



38.9M ETH Staked at 2.7% Issuance Rewards with Minimal Tips and MEV

REWARD COMPOSITION



- Issuance: 2.7% APR
- Tips: 0.1% APR
- MEV Estimate: 0.1% APR

Issuance: ~2,800 ETH/day
Primary driver of new supply

STAKING OVERVIEW

TOTAL STAKED

38.9M

ETH (~32% of supply)

% OF SUPPLY STAKED

32%

of total ETH supply

SCARCITY ENGINE

9.1M ETH locked in staking contracts
Average lock time: 10.7 years

This creates significant supply lock-up,
reducing circulating supply pressure.

INSIGHT

Validators earn almost entirely from **protocol issuance** rather than tips/MEV.

This means staking rewards are a direct **supply expansion** driver, not offset by user activity fees.

REWARD BREAKDOWN

REWARD TYPE	AMOUNT	APR
Issuance	0.9 ETH/validator	2.7%
Tips	0.0 ETH	0.1%
MEV Estimate	0.0 ETH	0.1%
Total		~2.9%

Long-Term Equilibrium Projected at 125.7M ETH

With 1,037K ETH/Year Issuance-Burn Balance at Equilibrium

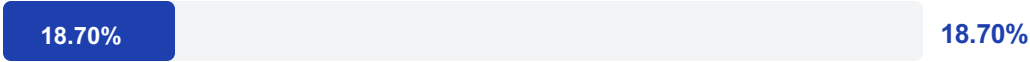
ETH SUPPLY TRAJECTORY — 200-YEAR PROJECTION



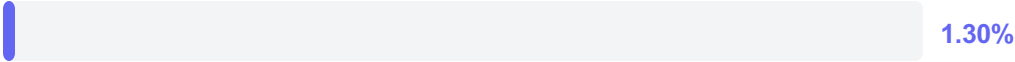
ETH at 18.7% of Bitcoin's Market Cap, Securing \$272B in Native Value

FLIPPENING PROGRESS

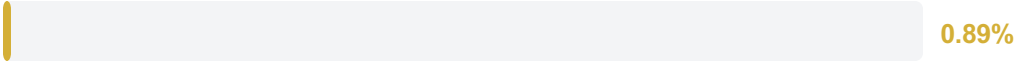
ETH vs Bitcoin Market Cap



ETH vs USD (M2 Money Supply)



ETH vs Gold (Store of Value)



MONETARY PREMIUM STAGE

ETH has achieved 18.7% of Bitcoin's market cap, demonstrating growing but still early monetary premium.

6,000+ community members tracking these metrics

TOTAL VALUE SECURED (TVS)

Total Value Secured on Ethereum

\$307.6B



TOP ERC20s BY VALUE

TOKEN	VALUE
Dai	\$4.41B
Shiba Inu	\$3.51B
Cronos	\$2.97B
Tether Gold	\$2.65B

TOP NFT COLLECTIONS

COLLECTION	VALUE
CryptoPunks	\$2.13B
Bored Ape Yacht Club	\$0.68B
ENS	\$0.63B
Pudgy Penguins	\$0.51B

Key Takeaways

Ultra Sound Money Thesis Intact but Gas Activity Is the Critical Variable

01 ETH is currently slightly inflationary at +0.83%/yr

Due to historically low gas fees (avg 0.1 Gwei), burns offset only ~1% of issuance.

The deflationary mechanism exists but requires activity to activate.

02 Burn mechanism works but requires sustained on-chain activity

DeFi + ETH transfers drive 85% of burn, but at current gas levels, absolute volumes are negligible.

L2, MEV, and blob fees contribute zero burn — activity recovery is essential.

03 38.9M ETH staked creates significant supply lock (32% of supply)

9.1M ETH locked in staking contracts with avg 10.7-year duration.

This reduces circulating supply and supports the scarcity thesis.

04 Long-term equilibrium at 125.7M ETH is structurally sound

Assuming 39M staked and 22 Gwei avg gas, issuance and burn balance at ~1,037K ETH/year.

The 22 Gwei assumption is the key variable — currently 220x above reality.

05 \$307B+ Total Value Secured demonstrates growing monetary premium

ETH at 18.7% of Bitcoin's market cap with \$272.76B native value secured.

The monetary premium is real, growing, and still early relative to BTC and gold.